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Scaling a Startup: People and Organizational Issues

When you scale an organization, you will need to give ground grudgingly. Specialization, organizational structure, and process all complicate things quite a bit, and implementing them will feel like you are moving away from common knowledge and quality communication. It is very much like the offensive lineman taking a step backwards to protect the quarterback. You will lose ground, but you will prevent your company from descending into chaos.

— Entrepreneur/Investor Ben Horowitz[1]

Introduction

After a startup has found product-market fit—that is, after it has validated its business model and has a repeatable monetization process—it usually begins "scaling up." Scaling entails expanding the startup's customer base more aggressively and assembling the capabilities required to support growth. The company hires additional employees and may open new offices. In a rapidly growing firm, the informal communication and decision-making processes that the startup previously employed are no longer adequate. Employees who once covered multiple roles increasingly must give way to specialists, requiring cross-functional teams that may span multiple products or geographies. This is an exciting inflection point for entrepreneurs, but it comes with significant challenges. When managed poorly, scaling can prove fatal for a startup.

This note will focus on five of the most important people and organizational challenges associated with scaling a startup (see **Exhibit 1** for a summary of the challenges associated with scaling):

- Designing the Organization
- Developing Management Systems and Processes
- Managing Executive Transitions
- Structuring the Board
- Maintaining an Entrepreneurial Culture

The note is divided into five sections that cover the each of the challenges listed above, providing advice from scholars, entrepreneurs, and investors. As you consider this advice, keep three points in mind. First, potential solutions to the challenges are interrelated. For example, when compared to an organization with a few strong, centralized functions, one with many decentralized profit centers will

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need different processes to ensure cross-functional coordination as well as different types of executives. Second, solutions are contingent on the specific circumstances confronting a startup at a given point in time.[2] A scaling startup's circumstances evolve rapidly, so solutions will be temporary. For example, an executive that suits the startup's needs today may not have the skills needed to lead the firm in 18 months. Third, given founders' disdain for bureaucracy, the advice in this note may seem to call too much attention to organizational structure and processes. Nevertheless, most serial entrepreneurs say that they wish they had spent more time thinking about these topics when they started scaling their first startup.

This note does not describe the industry conditions and business model attributes that may motivate a startup to pursue accelerated growth. Readers with an interest in factors that determine the optimal pace of startup expansion should consult a companion note, "Scaling a Startup: Pacing Issues" (HBS No. 812-099).

Organizational Structure

Most early-stage startups shy away from creating organizational charts and assigning tightly defined responsibilities to employees. This lack of structure works well when teams must be able to pivot rapidly in response to market feedback. Early hires tend to be "jacks-of-all-trades," who pitch in to complete unexpected tasks across a variety of functions. For example, on any given day, a newly minted MBA at an early-stage technology startup might find herself looking for office space; interviewing potential customers; talking about product requirements with engineers; negotiating software licenses; finding a payroll processor; designing the company's logo; meeting with a potential distribution partner; answering support e-mails; interviewing a candidate for sales; or building a revenue spreadsheet for a presentation to potential investors.

Specialization As a startup begins to scale, however, a fluid work environment can become difficult to manage. Functional teams take shape and must define their roles. For example, the engineering team may create subgroups focusing on key product components, architecture, quality assurance, etc. Marketing, sales, and customer support all will follow a similar path. Specialization can make it easier to hire and train new employees. As each subgroup of specialists grows, however, it will need its own manager, and each function will also require a leader who knows how to coordinate efforts across specialties. Bill Campbell, an experienced Silicon Valley executive and coach to many technology industry CEOs, shares his views about the importance of adding such managers to a scaling startup: [3]

> Technical founders often think that engineering hires don't want to be managed, but I have found that's not true. I once challenged a founder to walk down the hall and ask his engineers if any of them wanted a manager. To the founder's surprise, they all said, "Yes, we want someone we can learn from and someone who can break ties."

Organizational design The introduction of specialist roles in a scaling startup requires thoughtful decisions about organizational design. According to entrepreneur-turned-investor Ben Horowitz:[4]

> The first rule of organizational design is that all organizational designs are bad. With any design, you will optimize communication among some parts of the organization at the expense of other parts. For example, if you put product management in the engineering organization, you will optimize communication between product management and engineering at the

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expense of communication between product management and marketing. As a result, as soon as you roll out the new organization, people will find fault with it and they will be right.

Still, at some point the monolithic design of one huge organization runs out of gas and you will need to split things into smaller sub-groups. . . . Your goal is to choose the least of all evils. Think of the organizational design as the communications architecture for your company. If you want people to communicate, the best way to accomplish that is to make them report to the same manager. By contrast, the further away people are in the organizational chart, the less they will communicate.

Horowitz suggests six steps for determining optimal organizational design:[5]

1. Figure out what needs to be communicated. Start by listing the most important knowledge and who needs to have it. For example, engineering, quality assurance, product management, marketing, and sales must all understand product architecture.

2. Figure out what needs to be decided. Consider the types of decisions that get made on a frequent basis: feature selection, architectural decisions, how to resolve support issues, etc. How can you design the organization to put the maximum number of related decisions under the domain of a knowledgeable manager?

3. Prioritize the most important communication and decision paths. Is it more important for product managers to understand the product architecture or the market? Is it more important for engineers to understand the customer or the architecture? Keep in mind that these priorities will be based on today's situation. If the situation changes, then you can re-organize.

4. Decide who's going to run each group. Notice that this is the fourth step, not the first. You want to optimize the organization for the people doing the work—not for their managers. Most large mistakes in organizational design come from putting the individual ambitions of the people at the top of the organization ahead of communication paths for the people at the bottom. Making this step four will upset your managers, but they will get over it.

5. Identify the paths that you did not optimize. As important as picking the communication paths that you will optimize is identifying the ones that you will not. Just because you de-prioritized them, doesn't mean that they are unimportant. If you ignore them entirely, they will surely come back to bite you.

6. Build a plan for mitigating issues identified in step five. Once you've identified potential problems, you will know what processes you need to patch the impending cross-organizational challenges.

Organizational design is a complex topic, beyond the scope of this note, but Horowitz's advice is broadly consistent with research by Harvard Business School professor Robert Simons. Simons suggests that when structuring organizational units, senior managers should first identify the firm's primary "customer" among the many constituencies with which it interacts.[6] In the case of a pharmaceutical company, for example, constituencies include patients, physicians, pharmacies, wholesalers, independent research scientists, etc. Simons says that term "customer" should be reserved for the constituency whose interests should be put foremost, based on the firm's strategy; he argues that labeling all constituencies as customers can confuse an organization about its purpose.

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Having identified the firm's primary customers, senior managers should then structure *market-facing units* that deal directly with these customers, giving these units spans of control—over a range of organizational functions and relevant resources—that ensure an optimal level of responsiveness to the customers (bigger spans = greater ability to tailor products to customers' needs). In addition, managers should structure *operating-core units* that provide shared services (which, depending on design decisions, might include procurement, IT, R&D, etc.) to market-facing units, giving spans of control to operating-core units that ensure an optimal level of efficiency in delivering the shared services (bigger spans = more standardization, greater economies of scale, and so on). In general, bigger spans of control for market-facing units generally imply smaller spans for operating-core units, and vice versa. For example, if each market-facing unit is given its own R&D capability to promote responsiveness, then the R&D function within the operating core will necessarily be smaller, if one exists at all. This in turn means there is an intrinsic trade-off in organizational design between responsiveness and efficiency, which must be resolved in a manner consistent with the firm's strategy.

Cross-functional conflict Once early-stage startups start hiring specialists, cross-functional conflict is inevitable, given the incompatibility of different specialists' priorities. For example, sales will push for new features and product customization in response to requests from potential and current customers; at the same time, manufacturing will push for product standardization to realize economies of scale and achieve quality gains. Coping with such trade-offs can be challenging for entrepreneurs encountering them for the first time. As Harvard Business School's Frank Cespedes points out, the goal should not be to dilute specialists' expertise. Rather, the entrepreneur's task at this stage is to redirect behaviors so that specialization can occur while minimizing "competency traps," that is, the tendency for individual units to get measurably better at their tasks (due to specialization) while overall organizational effectiveness is diminishing (due to poor cross-functional integration).[7]

Organizational spans of control can be adjusted to manage cross-functional conflict. Consistent with Horowitz's advice above, if two managers who are likely to disagree have the same boss, conflict generally can be resolved more quickly. With this objective, startups may introduce chief operating officers, once they have grown sufficiently large and complex that the CEO lacks time to work closely with function heads. Likewise, once they have multiple product lines and/or serve multiple geographies, startups can decentralize, creating profit centers whose leaders each have control over the functions required to serve their segment, possibly including sales, marketing, manufacturing, and R&D.

As startups scale, marketing often plays an increasingly important role in managing cross-functional conflict, due to its natural orientation toward both internal and external constituencies. As Cespedes notes, the marketing team must balance *internal pressure* from engineering and operations for product line predictability with *external pressure* from sales for customization and product line novelty.[8]

Another solution for managing cross-functional conflict, often used in technology startups, is to introduce product managers (for more background, see "The Product Manager," HBS No. 812-105). Product managers play a role similar to that of brand managers in consumer packaged goods companies; they help translate customer needs into product requirements, and then coordinate work across organizational units to design, build, and market the product. While product managers are responsible for their product's success, they typically have no direct reports. In other words, they have a *wide span of accountability* but a *narrow span of control*. By deliberately violating a tenant of organizational design—"authority should match responsibility"—Simons notes that firms can sustain

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entrepreneurship.[9] Pursuing opportunity without regard to resources controlled is exactly what product managers must do.

Finally, a cultural commitment to resolving cross-functional conflict in a rapid, professional manner can reduce discord within scaling startups. Jessica Herrin, founder and CEO of Stella & Dot, a fast-growing company that recruits independent stylists to sell its jewelry line through in-home trunk shows, explains, "Cross-functional tension is inevitable, but we have found that it can be minimized when employees like and respect each other. Building relationships takes time and may seem like a luxury, but it is important. When problems come up, I tell my team, 'You can't talk *about* each other, you can only talk *to* each other.'"[10] Campbell adds, "I tell executives to fix conflicts right away. You can't let them fester; that can destroy an organization."[11]

Reverse engineering organizational designs Harvard Business School professor Joe Lassiter advises entrepreneurs to think about organizational design as they would their product road map: "If you know where you are going, start with where you want to be in five years, and then work backwards. For example, if you plan to sell internationally or work with certain partners, think about how you are going to build those capabilities in your growing company. In this manner, you can reverse engineer an organization."[12]

Management Systems and Processes

As a startup begins to divide into functions and product teams, the organization typically requires new processes to facilitate communication and decision making. Decisions that had been made over a pizza may now be debated at "company offsites." Information that previously was shared through informal conversations in the hallways becomes fodder for staff e-mails and "all-hands" meetings. Horowitz observes:[13]

> When communication in an organization spans across organizational boundaries, processes will help ensure that a) the communication happens and b) that it happens with quality. If you are looking for the first process to implement in your company, consider the interview process. It usually runs across organizational boundaries . . . and is critically important to the success of the company.
>
> Who should design a process? The people who are already doing the work in an ad hoc manner. They know what needs to be communicated and to whom. Naturally, they will be the right group to formalize the existing process and make it scalable.

Beyond recruiting, other human resources processes required in a growing startup include on-boarding new employees, managing benefits, and instituting performance reviews (see **Exhibit 2** for a list of potential processes introduced as a startup matures). Companies also have to add financial procedures for managing employee expenses. Employees need to feel confident that they will be reimbursed. In a 10-person company, an employee might simply tell the CEO that she spent $400 on an airplane ticket, knowing that the CEO will write a reimbursement check on the spot. But when a company has 100 people, informal processes must be modified. A scaling startup needs expense policies, reimbursement forms, and a way to track expenses against appropriate budget categories. Employees may bemoan the paperwork, but at some point, a lack of process becomes unwieldy and, in the case of expenses, invites abuse.

On-boarding processes Eric Ries, author of *The Lean Startup*, advises entrepreneurs to build an adaptive organization to manage the ongoing improvement of new processes. He writes, "Like a

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product, infrastructure and policies should be subject to constant experimentation and revision. They should be created in response to issues, and managers should make a proportional investment to fix the root cause of a problem."[14] Along these lines, Ries views the training and orientation of new hires as a particularly good investment.

Horowitz concurs, asserting that the quality of a firm's new hire on-boarding process is a good proxy for its overall progress with scaling. He explains, "When employee N+1 joins the company, what happens? How long does it take for that employee to become productive? If the new hire feels lost for weeks, then there is a big problem. Today, Facebook has a two-month training program for new engineering hires, so the engineer understands his job and how his work fits in with the rest of the company's work."[15]

Intuit, too, has a distinctive approach for ensuring that both new and established employees understand the firm's strategy and its commitment to customer-centered design. Intuit requires every employee, including engineers, to spend time monthly working in customer support. This provides a self-selection mechanism early in an employee's tenure—new hires who do not value the experience are likely to exit—and it helps establish a common language and culture across functions.[16]

Decision-making processes Decisions in early-stage startups often involve the entire team, and they can be made in casual discussions. Likewise, as early-stage startups search for product-market fit, they embrace experimentation. John Berkley, senior vice president of product at Responsys, explains the need to modify these behaviors as a company scales:[17]

> When companies are in early growth mode, there is a pattern of saying "yes" to opportunities and demands, for example, jumping on customer requests, doing whatever it takes to win a big deal, or developing the next hot feature. This mindset helps early-stage startups innovate and be market-focused. But it can kill companies when they start to scale, because it is impossible to do everything well. It can be a big cultural shift to step back and think before saying "yes."

Along these lines, decisions in a scaling startup may require a formal review followed by approval from a senior executive. For example, before a salesperson can agree to software modifications requested by a customer, a senior engineering manager may need to assess the costs and benefits of customization. With key decisions that get made repeatedly (e.g., whether to sign a proposed partnership agreement; whether to develop new features), senior managers should clarify who in the organization has the right to propose an initiative, who should provide input, who makes the decision, and who (if anyone) has veto power or the right to appeal a decision to a higher level. Formalizing decision-making processes in this manner can feel bureaucratic, particularly to early employees who are accustomed to more autonomy. Without such clarity, however, decision making can grind to a halt, accountability for results can blur, and strategy can drift with the political winds. The challenge is finding the "right" balance between bureaucracy and chaos. Dan Rosensweig, CEO of online textbook rental company Chegg (and former COO of Yahoo!) notes, "I spend time thinking about how to minimize the number of decision makers so that we can move quickly. If I see a meeting with too many attendees, it usually means we don't have enough clarity on the owner of the decisions involved."

Pace of adoption New management systems often require investments in infrastructure. For example, a new customer relationship management (CRM) system might require integration with a marketing database. Likewise, engineers might be asked to write code to make it easier for the product group to run A/B tests. It can be dispiriting for engineers to work on "behind the scenes"

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infrastructure projects; most engineers would prefer to work on cutting-edge new product features. Berkley notes:[18]

> It's easy to make the case for investing in people who can show quick, tangible successes—like killer sales reps or hotshot engineers. It's harder to argue for investing in infrastructure needed for the long-term, like knowledge management systems. A company that is scaling well has the patience and appetite for those types of investments, but infrastructure like this doesn't make sense for early-stage startups.

Due to the investment required and entrepreneurs' dislike of bureaucracy, few startups adopt management systems ahead of their needs. They are more likely to invest too late, in reaction to the errors, confusion, inconsistencies, and excessive workloads that can result from a lack of automated and standardized processes. However, some startups do invest early and heavily in management systems—especially when their top managers have experience using systems in big companies or, in the case of serial entrepreneurs, in past startups.[19] But it can be a mistake to invest too far in advance, or to simply clone big company systems without careful analysis of whether they meet a startup's needs. Those needs evolve rapidly, and building systems too early runs the risk of omitting important features and wasting effort on features that turn out to be unnecessary.

Executive Transitions

As startups mature, the board has to decide whether the current CEO is capable of leading the scaling company. Entrepreneur-turned-educator Steve Blank reflects on these difficult decisions: [20]

> Successful startups are typically led by passionate visionaries who can articulate a compelling vision, while being agile enough to learn and discover in real time, resilient enough to deal with countless failures, and responsive enough to capitalize on what they learned in order to secure early customers.
>
> What lies ahead, however, is a different set of challenges: finding the new set of mainstream customers on the other side of the chasm and managing the sales growth curve. These new challenges require a different set of management and leadership skills. Critical for this transition are CEO and executive staff who are clear-eyed pragmatists, capable of crafting and articulating a coherent mission for the company and distributing authority down to departments that are all driving toward the same goal.

Blank suggests that a founder's early-stage success does not predict performance in the next stages. He writes, "The jury is still out on whether more startups fail in the long run from getting the founders completely out of the company or from keeping founders in place too long."[21]

"Rich versus king" Based on his research on hundreds of founders, Harvard Business School professor Noam Wasserman sees a "rich versus king" trade-off for founders, who have to choose between: (1) maintaining personal control over their startup, which may entail raising less outside capital for expansion, thereby preserving the founder's dominant share of equity ownership in a smaller, less valuable firm; or (2) reaping the greatest possible personal financial reward, which may entail raising more outside capital, yielding the founder a smaller share of equity ownership in a more valuable firm.[22]

When a founder/CEO raises outside capital for expansion, he suffers dilution and puts himself at greater risk of being replaced, if the board concludes that he lacks the skills to lead the scaling organization. Some founders are able to manage their startups effectively beyond the early phase of

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searching for a business model. In particular, serial entrepreneurs often find the process of scaling to be easier with their second or third startup. Herrin explains, "I learned a great deal from my experiences at The Wedding Channel, and I knew what I wanted to do differently. I kept Stella & Dot small until I figured out through experiments what worked and what didn't."[23]

Anticipating and managing transitions Horowitz offers the following observations about leadership styles for scaling an organization: [24]

> **Managing at scale is a learned skill rather than a natural ability.** Nobody comes out of the womb knowing how to manage a thousand people. Everybody learns at some point.
>
> **It's nearly impossible to make the judgment in advance.** How do you tell in advance if an executive can scale? Was it obvious that Bill Gates would learn how to scale when he was a Harvard dropout? How do you go about making that decision?
>
> **Hiring scalable execs too early is a horrible mistake.** There is no such thing as a great executive. There is only a great executive for a specific company at a specific point in time. Mark Zuckerberg is a phenomenal CEO for Facebook. He would not be a good CEO for HP.

Venture capitalist John Hamm has discovered that founders often benefit from coaching by a board member or mentor to help overcome habits that may have been helpful in an early-stage startup, but hurt performance when scaling. According to Hamm, these tendencies include: (1) loyalty to comrades who may lack the skills to fulfill evolving leadership roles; (2) single-minded focus on the product or original vision, which may discourage growth in new directions; (3) a relentless focus on executing today's "to-do list" at the expense of thinking strategically; and (4) working in isolation (especially in the case of product-obsessed founders) instead of with management team members or ecosystem partners.[25]

Other Executives and Cofounders

Executive challenges in growing startups extend beyond founder/CEO succession issues. Companies often struggle to define ongoing roles for other co-founders, who—like the founder/CEO—may lack the skill and will to lead a scaling organization. Entrepreneur/investor Simon Simeonov observed:[26]

> I recently met an entrepreneur who started working on a consumer social media idea about a year ago. Thinking he was building a small dot-com, he brought on a college buddy who had done Amazon Web Services to work as a chief technical officer [CTO]. In a few months, the idea shifted toward working with agencies. He brought in a VP of Marketing from the agency space, because he was confident that was where the opportunity was. After a few more months, the team realized there was only a services business in the agency space. Now they are pivoting towards expert identification/collaboration in enterprises, and *neither his CTO nor his VP-Marketing is right for the team*. The entrepreneur in this example is a smart guy. But he didn't have enough experience to understand what would be required for a co-founder role over the early evolutionary path of the company. He didn't fully appreciate the opportunity cost of making these early hires.

Firing a cofounder can be disruptive when employees have allegiances to the executive who is being asked to leave. In addition, firing a cofounder can lead to messy disputes over equity vesting if the cofounders have not signed a contract clearly specifying termination provisions.

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CEOs are often slow to fire senior executives, because the risk of near-term disruption looms large, whereas long-term performance consequences from keeping the wrong person in a senior position are less clear. Rosensweig describes one of his key roles as picking the right "jockeys" (executives), to ride the right "horses" (opportunities). He explains, "If the wrong jockey is riding the horse, you need to swap out the person, and do so quickly."[27] Abby Karp Anderson, founder of AKA Search, an executive search firm, adds, "Many startups see the process of hiring and firing as part of the growth experience. Iteration might be necessary as the company is figuring out where it wants to go."[28]

"Big Company" Executives

As a company grows, board members may encourage the CEO to bring in experienced "big company" executives. While this can be a good idea, entrepreneurs sometimes find that managers who come from big companies may not be accustomed to the level of initiative required to succeed at a growing startup. Horowitz observes, "Big company executives tend to be interrupt-driven. They respond to an incredible number of incoming demands. In contrast, at a startup, nothing happens unless you make it happen."[29] Blogger Cindy Alvarez says that three traits help big-company people do well at startups: bias toward action, ability to fuse varied experiences, and tremendous impatience.[30]

The challenge of integrating big-company executives can be magnified in a growing sales organization. Venture capitalist Mark Suster suggests sticking with the CEO as the lead salesperson for as long as possible before hiring a senior sales executive:[31]

> Spending time selling to customers is the best way to find out what their problems are and how good your solution currently is at mapping to their needs. Once you've started to get alignment between your product offering and what customers want, you'll need to hire a sales person or two, but don't bring in the "big guns" yet. I always tell people, "Hire somebody who wants to punch above their weight class" (i.e., the person who wants to reach the next level up, rather than the person who has already done it).

Planning Ahead

Simeonov notes that timing new executive hires can be challenging: "There is a principle in agile [software] development that centers on minimizing wasted effort. One of the cornerstone strategies—supposedly one of Toyota's rules [for lean manufacturing], too—is to delay decisions until the last responsible moment. Because the future is uncertain, the idea is to make decisions with the most information. The emphasis is on 'responsible,' because a lot of procrastination is bad too."[32]

Herrin notes, however, that hiring the right senior executive hire can take six to nine months:[33]

> One of the hardest aspects of scaling is hiring ahead of the curve. The operations person who can take a company from $0 to $10 million is often different than the person who can take a company from $10 million to $100 million. At the beginning, we needed someone scrappy, now we need a leader who can create repeatable processes. Ideally, people grow with you, but that is not always the case. Likewise, at the beginning, we couldn't attract the quality of senior-level executives that we can attract now. In some ways, early hiring is like finding office space. You have to move offices several times as you grow, so you just get comfortable with change.

Geoffrey Moore, author and adviser to high-tech companies, notes that a scaling startup needs executives who can both invent and deploy, and often these roles need to be segregated:[34]

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> Inventing in the midst of deploying . . . drives customers and partners crazy, wastes endless cycles in heroic rescue missions, and burns out your team. To effect this segregation, you need to install deployer types in the critical roles of your organizational design, making sure they do not report to inventors who can overrule their calls. In an ideal scenario, there is no change in personnel required because the leader is both an inventor and a deployer by nature. This is the true meaning of the word entrepreneur.
>
> But your scenario can be less than ideal and still produce great results if you can backfill for the missing capability without losing momentum. This requires the inventor to take a step back, often to a CTO or an evangelist role, allowing a new person to take the reins. And that new person has to be strong at assessing the current team from a deployment perspective, making the changes needed, all the while respecting, and wherever possible enlisting, the resources in place.

Board and Governance Issues

As a startup grows, some entrepreneurs may find it necessary to change or expand their board of directors. However, most venture capital firms advise against adding more than one or two new board members while scaling a company. Highland Capital Partners offers the following advice:[35]

> Small boards are more effective than large ones. Startups suffer many disadvantages to larger competitors. Their principal advantage is agility. A cumbersome board can severely impair agility. A small working board can turbocharge it. In our experience, the ideal board composition includes the CEO, the founder (if he or she is not currently the CEO), two experienced outside directors with in-depth knowledge of the industry, and no more than two professional investor representatives.

It may be necessary to add an additional board member after each early round of financing, since the venture capital firm leading the round will typically want a board seat. When firms raise many rounds, however, this agglomeration process can become dysfunctional. One startup CEO noted that he inherited a board with nine members who joined over multiple rounds of financing, creating a situation with "too many cooks in the kitchen."

Conflicting agendas Conflict can arise due to the differing objectives of board members. Although all board members have a fiduciary responsibility to protect the interests of the company's employees, customers, suppliers, creditors, and shareholders, there can be a major difference of opinion about how best to do this. A seed-round angel investor may have different risk-reward preferences than those of a late-stage growth equity investor, yet both may have an equal vote on the board. For example, an angel investor who invested $250,000 may encourage the CEO to accept an early $10 million acquisition offer that would yield the angel a quick 3-4x return on his investment. However, a venture capitalist (VC) who just invested $3 million in the same company's Series A round might prefer to hold out for a better exit, instead of accepting the $10 million acquisition offer, which would yield no gain on the VC's original investment.

Board members may also pressure a CEO to aggressively scale the company before validating its business model, hoping for a lucrative exit in the form of an IPO or sale to a strategic investor. The Startup Genome Project determined that "premature scaling" was the leading cause of failure among several thousand consumer Internet startups that it studied.[36] The pressure for startups to scale prematurely can be acute during a valuation bubble, when investors often assign high valuations to

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startups that exhibit "momentum," that is, growth in users or revenue—regardless of prospects for earning profits.

Compliance duties As a company moves beyond early scaling challenges, the compliance role of the board may become increasingly important. Moore writes:[37]

> The whole point of the transition [to scale] is to develop enough mass to have a material impact on the world. Material impacts need governance, and societies are not particularly forgiving when it is not in place. So if you have the ambition to scale, you must embrace the responsibility of compliance to the relevant regulatory regimes. Typically this begins with adding board members who have experience with the compliance issues of a scaled enterprise, and some time later, rotating off the board early stage investors whose greatest strengths apply to an earlier phase of development.

Culture

Major changes at a growing startup can have negative cultural ramifications. Companies struggle with tension between "old guard" employees who were present at inception and newcomers. This tension may manifest itself in different ways, including: perceived stock inequities ("Why does Jennifer have 10 times more shares than me if I am her boss?"); varied work schedules ("Mike just started and he leaves every day at 6 p.m. Doesn't he realize that we got here by working 70+ hours each week?"); and different comfort levels with new processes ("I don't understand why I need to run this decision by the new VP of Engineering. Before, I could make this decision myself.")

Penny wise, pound foolish? Some companies introduce policies that seem financially sound, but lead to unintended consequences. Blank shares the story of a company that chose to discontinue free sodas in order to save $10,000:[38]

> This company had grown from the founders, who hired an early team of superstars, many now managing their own teams. All these engineers were still heads-down, working their tails off, just as they had been doing since the first few months of the company. Too busy working, most were oblivious to the changes that success and growth had brought to the company. One day the engineering team was clustered in the snack room looking at the soda machine. The sign said, "Soda now 50 cents." The uproar began.
>
> Engineers started complaining about the price of the soda. Someone noticed that instead of the informal reimbursement system for dinners when they were working late, there was now a formal expense report system. Some had already been irritated when "professional" managers had been hired over their teams with reportedly more stock than the early engineers had. Lots of email was exchanged about "how things were changing for the worse." A few engineers went to see the CEO. But the damage had been done. The most talented and senior engineers looked up from their desks and noticed the company was no longer the one they loved. It had changed. And not in a way they were happy with. The best engineers quietly put the word out that they were available, and in less than a month the best and the brightest began to drift away. . . . As startups scale into a company, founders and the board need to realize that the most important transitions are not about systems, buildings or hardware. It's about the company's most valuable asset—its employees.

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Minimizing politics Minimizing politics helps preserve a positive culture at a growing startup. A CEO must guard against inadvertently rewarding behavior that could lead to infighting among executives, particularly over performance reviews, compensation, organizational design, and promotions. Horowitz shares an example:[39]

> As CEO, senior employees will come to you from time to time and ask for an increase in compensation. Faced with this confrontation, if the request is reasonable, you might investigate the situation. You might even give the employee a raise. This may sound innocent, but you have just created a strong incentive for political behavior. Specifically, you will be rewarding behavior that has nothing to do with advancing your business. The employee will earn a raise by asking for one rather than you automatically rewarding them for outstanding performance. Why is this bad? Let me count the ways:
>
> 1. The other ambitious members of your staff will immediately agitate for raises as well. Note that neither this campaign nor the prior one need be correlated with actual performance. You will now spend time dealing with the political issues rather than actual performance issues. Importantly, if you have a competent board, you will not be able to give them all out-of-cycle raises, so your company executive raises will occur on a first-come, first-serve basis.
>
> 2. The less aggressive (but perhaps more competent) members of your team will be denied off-cycle raises simply by being apolitical.
>
> 3. The object lesson for your staff and the company will be the *squeaky wheel gets the grease and the political employee gets the raise*. Get ready for a whole lot of squeaky wheels.

To minimize politics, Horowitz suggests hiring people who have the right kind of ambition, as defined by former Intel CEO Andy Grove: ambition for the company's success, with the executive's own success being a by-product of company victory.

Team homogeneity Horowitz warns, however, that cultural fit does not imply team homogeneity: "I sometimes hear entrepreneurs say, 'I want to hire people who are just like our original team members.' That concerns me, because when there is a war for talent, it is critical to cast a wide net. A company needs to accommodate diversity and develop processes to integrate new hires. It might be harder to communicate with people who seem different than the founders, but there is an advantage to broader thinking on the team."[40] Anderson adds, "I've done some vice president searches for young founders who tell me cultural fit is their top priority. While cultural fit is key, I sometimes find these founders are talking more about hiring someone who will participate in a popular company activity like Ping-Pong at midnight and less about someone who has similar core values and working styles. I explain that we might miss some great candidates based on these criteria."[41]

Conclusion

Most entrepreneurs agree that scaling a startup is one of the most difficult challenges they have faced. It is not always clear where a company lies on the spectrum between a fledgling startup and a bona fide company, and how and when to adjust. Ries recalls several times in his career when he suddenly realized that he was failing at his job:[42]

> You don't get a memo, but if you did it would read something like this:

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> Dear Eric: Congratulations! The job you used to do at this company is no longer available. However, you have been transferred to a new job in the company. Actually, it's not the same company anymore, even though it has the same name and many of the same people. And although the job has the same title, too, and you used to be good at your old job, you're already failing at the new one. This transfer is effective as of six months ago, so this is to alert you that you've already been failing at it for quite some time. Best of luck!

Evolution and revolution Entrepreneurs often discover that what allowed their organizations to thrive at one point can become problematic at a later stage. In a classic article, University of Southern California professor Larry Greiner asserted that companies progress through five phases of growth. Each growth period (evolution) results in a crisis (revolution) that must be resolved before moving to the next phase (see **Exhibit 3** for Greiner's growth phases). Examining young companies, Greiner concluded:[43]

> Creative activities are essential for a company to get off the ground. But as the company grows, those very activities become the problem. The company's founders find themselves burdened with unwanted management responsibilities. They long for the "good old days" and try to act as they did in the past. Conflicts among harried leaders emerge and grow more intense. At this point, a crisis of leadership occurs, which is the onset of the first revolution.

CEO psychology Given all the things that can and do go wrong at a scaling startup, it can be difficult for a CEO to stay upbeat. Horowitz describes the challenges CEOs face with managing their own psychology: [44]

> Nobody sets out to be a bad CEO, run a dysfunctional organization, or create a massive bureaucracy that grinds her company to a screeching halt. Yet no CEO ever has a smooth path to a great company. Along the way, many things go wrong and all of them could have and should have been avoided. Even if you know what you are doing, things go wrong. Things go wrong, because building a multi-faceted human organization to compete and win in a dynamic, highly competitive market turns out to be really hard. If CEOs were graded, the mean on the test would be 22 out of a 100. This kind of mean can be psychologically challenging for a straight-A student.

Horowitz offers suggestions to startup CEOs for mitigating psychological pressures, including: talk to other people who have gone through similar experiences; outline your problems in a document that can be shared; and focus on where you are going, not on what you have to avoid.

On the flip side, many founders agree that scaling a company can be one of the most rewarding aspects of being an entrepreneur. Herrin notes, "Every day something is breaking, and every day something is getting fixed. That's all part of the experience of building a company. I love what I do, and we are making a difference for the thousands of women who earn a living running their own Stella & Dot business and delighting the millions that wear it. Of course, there are challenges, but I feel good knowing that what I do matters."[45]

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Exhibit 1 Summary of Scaling Challenges

FROM (In Early-Stage Startups):	TO (In Scaling Startups):
Organizational Structure	
• Fluid, "jack-of-all-trade" roles with few formalized reporting relationships	• Specialized roles and subgroups within formalized functional units. • Spans of control designed to ensure cross-functional coordination and appropriate trade-offs between customer responsiveness and operational efficiency.
Management Systems and Processes	
• Few systems and processes beyond rudimentary cash flow projections and project tracking.	• As needs arise, formal systems and processes added to manage finance, product/engineering, sales/marketing, operations/customer support, human resources, etc.
Leadership Team	
• Cofounders divide responsibilities loosely (e.g., "inside vs. outside," "product vs. engineering"), with one cofounder assuming CEO role.	• Due to lack of experience with managing a large, complex organization, founder/CEO may be replaced by professional CEO. • Other cofounders may be fired or demoted to make way for experienced executives hired to lead functions. • Hires with big-company backgrounds may have trouble adjusting to rhythms of a scaling startup.
Governance	
• A small board (with 3–5 members) is often organized after Series A.	• Board may grow as the lead investor in each new round demands a seat. • Board conflicts may ensue due to differences between early- and late-stage investors in terms of risk/reward and liquidity preferences.
Culture	
• Team is motivated by founders' vision. • Founders hire new employees "in their own image," strengthening cultural bonds. • Everyone is willing to pitch in and work hard. • Communications are informal. • Decision making is based on consensus or founder fiat, but not on political influence.	• New employees less likely to be mission-driven. • New employees likely to be more diverse, bringing new perspectives but changing the company culture in the process. • Friction between "old guard" and newcomers over behavioral norms, need for process, etc. • Political behavior is a growing concern. • Leaders strive to re-ignite entrepreneurial spirit and avoid bureaucracy.

Source: Casewriter research.

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Exhibit 2 Potential Systems and Processes for a Scaling Start-Up

Financial Management	Sales/Marketing Management
• Sales projections • Cash flow projections • Operating budget & opex approval process • Capital budget & capex approval process • Cash management systems, e.g., procedures for paying vendors, collecting receivables, etc. • Payroll systems • Dashboards for key financial & operating metrics Human Resource Management • Recruitment process (reference checks, etc.) • T&E policies & reimbursement procedures • Codes of conduct • Organizational charts • Written job descriptions • Orientation programs for new employees • Company newsletters • Performance reviews with written objectives • Compensation linked to performance assessment • Procedures for terminating employees Product/Engineering Management • Product portfolio plan • Product profitability analysis • Road maps for individual products • Business plans for proposed products • Product Requirements Documents specifying proposed products' functionality • Processes for testing product concepts • Processes for staffing new projects • Processes for prioritizing projects • Systems for tracking progress vs. project milestones	• Customer acquisition cost analysis • Customer profitability/lifetime value analysis • Account prioritization systems • Reports on sales pipeline • Sales force training programs • Sales quotas for individual reps • Sales force compensation plans • Customer relations management system • Systems for capturing customer feedback Operations/Customer Service Management • Procurement policies • Production planning/scheduling systems • Inventory tracking systems • Scripts & escalation procedures for customer service reps Business Development Management • Partnership development plans • Policies for review/approval of proposed partnerships by affected functions • Partnership monitoring systems Strategic Planning • Definition of strategic (non-financial) milestones

Source: Adapted from Anthony Davila et al., "Building Sustainable High-Growth Startup Companies," *California Management Review*, Spring 2010, Table 1.

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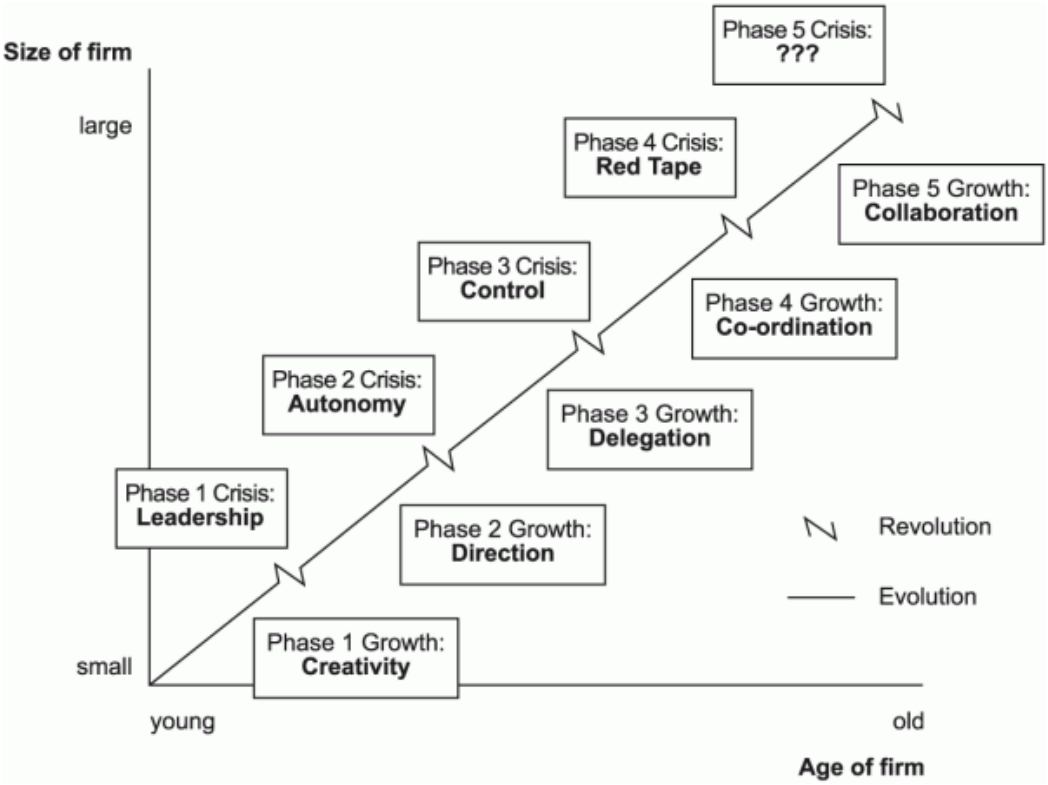
Exhibit 3 The "Greiner Curve" Showing Phases of Growth



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[3] Author interview, October 31, 2011.

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[10] Author interview, October 27, 2011.

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